CFA Institute®

AI Investment Challenge

Official Rules

2025 – 2026 Season

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RULE 1: INTRODUCTION AND GENERAL PROVISIONS

The AI Investment Challenge is a competition between teams comprising 3-4 people, to solve a real-world investment problem using AI, then present their findings to a panel of judges. The competition is conducted by CFA Institute and in collaboration with CFA Society United Kingdom, with support and cooperation from CFA Institute. No purchase is necessary to participate.

This competition is hosted by CFA Institute and CFA Society United Kingdom (the "Host"). The Host is solely responsible for the administration of the AI Challenge. No decision by the Host regarding the administration of the competition shall conflict with these rules and in the event of any conflict, these rules shall govern.

The Host is committed to creating a welcoming and safe environment for the AI Challenge where fairness, opportunity, and trust exist, allowing teams to leverage the diverse talents and perspectives of their participants. Participants in the AI Investment Challenge are considered to be ambassadors of their university or employer and thus are expected to behave accordingly.

1.1 Conflicts of Interest

All participants in the AI Investment Challenge, including the Host, teams, team members, mentors, and judges have an obligation to avoid actual or potential conflicts of interest with their participation. A conflict of interest is any matter that could reasonably be expected to impair an individual's independence and objectivity or interfere with an individual's duties. A conflict may be actual or perceived. As an example, a conflict of interest may exist when a participant or a participant's family member or close friend is involved in activities that affect the participant's ability to perform his or her role fairly and impartially, but conflicts of interest can arise even without a personal relationship.

To avoid any actual or perceived conflicts of interest, each participant must disclose to the Host in writing any potential conflicts. Judges must further disclose any close personal or professional relationship with team members or faculty advisors. Potential conflicts of interest must be disclosed promptly upon becoming aware of the potential conflict.

The Host will investigate any disclosures of actual or potential conflicts of interest. If a conflict of interest is found to exist and cannot be reasonably and timely cured, the individual with the conflict of interest will be disqualified from participation. If the Host determines that it is necessary to protect the integrity of the competition, the Host may disqualify a team from the competition if any team member or advisor is found to have a conflict of interest that is incapable of being reasonably and timely cured. The decision of the Host regarding the existence of a conflict of interest and its determination regarding the disqualification of any individual or team are final and binding on all teams, team members, mentors, and judges.

1.2 Plagiarism

Plagiarism is defined as copying or using in substantially the same form materials prepared by others without acknowledging the source of the material or identifying the author and publisher of such material. Teams may not copy analysis (i.e., plagiarize) from another source.

Teams also must not:

a. use excerpts from articles or reports prepared by others either verbatim or with only slight changes in wording without acknowledgment,
b. cite specific quotations without naming the specific references,

Sourced information should be properly cited using a generally accepted citation system. Generally accepted citation systems include, but are not limited to, the Chicago Manual of Style, the Harvard referencing system, and MLA (Modern Language Association) style.

Team members found to have plagiarized may be disqualified. The team's university may also be ineligible to participate in the following year's competition. The decision of the Host regarding plagiarism is final.

1.3 Third-Party Intellectual Property Rights

Related to the concept of plagiarism, respect of third-party intellectual property rights is essential to the AI Investment Challenge. While teams are free to include text, images, graphics, or other logos in their presentations as permitted by these rules, it is the obligation of each team to ensure that the use of any third-party materials complies with all applicable copyright and trademark laws. Third-party images included in the presentation must be appropriately licensed from the images' owners. Where legally necessary, teams should secure the permission of the owners of any trademarks or service marks incorporated into their presentation. By participating in the AI Investment Challenge, each team represents and warrants that its presentation does not infringe or violate the copyright, trademark, trade secret or other intellectual property right of any third party anywhere in the world.

1.4 Participant Information

By participating in the AI Investment Challenge, each participant acknowledges that the Host may collect, process, and share personal information of participants described in the Host's Privacy Policy. Each participant agrees that CFA Institute and its affiliates (including the local host), shall have the right to use such individual's name, voice, photograph, likeness, their appearance in any medium or forum anywhere in the world (including online) without further compensation, unless prohibited by law.

1.5 Ownership of Team Submissions

Teams retain full ownership of all solutions, code, and materials developed during the competition. By registering, teams grant CFA Institute and the Host a non-exclusive, royalty-free license to showcase submissions on CFA Institute platforms for educational and

promotional purposes. CFA Institute will not commercialize team solutions without separate written agreement.

All code submissions must be released under the MIT License.

RULE 2: TEAMS

2.1 Team Composition

Each team:

a. Must consist of no fewer than three and no more than four members; and
b. If a team loses a member at any point, they may recruit a replacement up until one week prior to Round 3. Teams must maintain at least two members to remain eligible.

2.2 Team Member Requirements

Each team member must:

a. agree to abide by the CFA Institute Code of Ethics` and Standards of Professional Conduct;

2.3 Team Member Ineligibility

An individual is ineligible to be a team member if that individual:

a. is employed by CFA Institute or the Host;
b. is or was a CFA charterholder;
c. is currently enrolled in or has completed a PhD program;
d. is under investigation or has been sanctioned by the CFA Institute Professional Conduct Program; or
e. has ever been convicted of a felony or crime punishable by more than one year's imprisonment or has ever engaged in conduct which would violate the CFA Institute Code of Ethics and Standards of Professional Conduct.

RULE 3: COMPETITION LEVELS

3.1 Round 1 – Concept Submission

Teams' concept submissions shall be scored by the judges using the scoring sheet set forth in Appendix A. The teams with the highest ranking after all concepts have been evaluated shall advance to the next round. The number of teams advancing to Round 2 will be announced at the launch webinar. In the event of a tie, ties shall be broken in favor of the team(s) with the highest score on the Relevance criterion. If a tie remains, the next tiebreaker is the Impact score, followed by Feasibility, then Innovation. If the foregoing fails to resolve all ties, all tied teams will advance to Round 2.

Concept submissions must include the following:

a. Problem Definition
b. Solution Overview
c. Planned Implementation
d. Impact Assessment
e. Ethical Considerations

3.2 Round 2 – Mentorship & Solution Development

Teams will build a verifiable, working AI solution based on the Round 1 concept. Each team will be paired with a CFA Charterholder mentor to guide them through refining and implementing their solution. Teams are expected to produce functional code, not a conceptual demo or mock-up.

Solutions must include the following:

a. **Functional Code** containing data acquisition/preprocessing, AI/ML model implementation, and outputs or analytical results

b. **Technical Explanation (2–4 pages)** addressing architectural design, workflow, data sources, discussion of results, model interpretability and AI usage. Technical explanation must contain a 4 bullet executive summary.

c. **Round 2 Evaluation Process:** Round 2 evaluation consists of two components:

   I. Code Review by volunteer code reviewers (separate from Round 1 judges and mentors) who will score submissions on Functionality, Clarity, and Path to Completion (see Appendix B); and
   II. Executive Summary Ranked-Choice Voting by the mentors, who will review executive summaries and rank the 9 teams other than their own based on Real-World Value (see Appendix B2). The top 5 teams based on combined scores will advance to Round 3. In the event of a tie, the team with the higher normalized mentor ranking score advances. If still tied, the team with more first-place rankings from mentors advances. If still tied, mentors will deliberate and vote.

3.3 Round 3 – Final Presentation

In the final round, teams will present the working solution to a panel of industry experts. Teams will be scored based on the rubric in Appendix C. In the event of a tie, judges will deliberate and then vote.

3.4 Prizes

Cash prizes will be awarded to the top three finishing teams:

- 1st Place: £2,000
- 2nd Place: £1,200

- 3rd Place: £800

Prize money will be distributed equally among team members and paid directly to individuals. Winners are responsible for any applicable taxes on prize earnings.

3.5 Authority of Host

All decisions of the local level host are final and binding on teams.

3.6 Travel and Accommodations

Participants and volunteers are responsible for any and all expenses incurred for travel and accommodations related to the local level competition.

RULE 4: USE OF AI TOOLS

The AI Investment Challenge is an AI competition. The use of AI tools is not only permitted but expected. This competition reflects the real world, where professionals leverage every available tool to solve problems. What matters is resourcefulness, transparency, and the ability to communicate your approach clearly and ethically.

4.1 Guiding Principles

a. **Transparency:** All AI use must be clearly communicated. Teams must disclose which AI tools were used, how they were used, and why.
b. **Reproducibility:** Judges must be able to verify and reproduce your results. Solutions that rely on AI must be structured so that outputs can be validated.
c. **Accessibility:** AI tools used must be reasonably accessible. Proprietary enterprise tools that judges cannot access to verify results are not permitted.

4.2 Categories of AI Use

AI as a Development or Writing Assistant – Using AI tools (such as GitHub Copilot, ChatGPT, or Claude) to help write, debug, or refine code or explanations. This use is permitted without restriction. The submitted functional code is the reproducible artifact. Teams must disclose such use in their Technical Explanation and Round 1 concept submissions.

AI as a Component of the Solution – When the solution itself makes API calls to AI models at runtime (e.g., using GPT-5.2 to analyze documents as part of the tool's functionality). This use is permitted but subject to the reproducibility requirements in Section 4.4.

4.3 Approved AI Tools as a Component of the Solution

The following AI tools are approved for use as components of submitted solutions:

a. **Frontier Foundation Models (API-based):** OpenAI (GPT-5.2, GPT-5.2-mini, etc.), Anthropic (Opus 4.5), Google (Gemini)
b. **Open-Source Models:** Llama, Mistral, Qwen, and similar openly available models. Self-hosting and fine-tuning are permitted.

Not Permitted: Proprietary enterprise AI tools (e.g., Bloomberg models, internal corporate models) or any AI service that judges could not reasonably access to verify results.

4.4 Reproducibility Requirements

If your solution uses AI API calls at runtime to produce results, judges must be able to reproduce and verify those results. The following requirements apply:

If reproduction costs ≤ $20: Document the AI model(s) used, version/date, and approximate token cost in your Technical Explanation.

If reproduction costs > $20: You must cache the API responses in your repository so that judges can verify outputs without incurring the cost. Include:

a. Cached API responses (JSON or text format)
b. Documentation of model name, version, and parameters (e.g., temperature)
c. A method to run the solution using cached data (e.g., a --use-cached flag)

The $20 threshold refers to the cost of running the solution once to reproduce results, not total development costs.

4.5 Disclosure Requirements

All teams must include an AI Use Statement in their Technical Explanation that addresses:

a. Which AI tools were used during development
b. Which AI tools are integrated into the solution (if any)
c. How and why each AI tool was used
d. Estimated API costs for reproduction (if applicable)

4.6 Data Requirements

To ensure judges can verify and reproduce your solution, the following data requirements apply:

- **Source Data Must Be Publicly Accessible**
  All source data used in your solution must be publicly available. Proprietary data from employers, paid data terminals (e.g., Bloomberg), or other sources that judges cannot freely access is not permitted. Teams must document all data sources with URLs or clear instructions for how to obtain the data.
- **Data You Create Is Part of Your Solution**
  If your solution involves creating derived datasets—such as labeled data, annotated datasets, scraped and processed public information, or synthetic training data—this is considered part of your work product. You must include this data in your repository so judges can reproduce your results.

Documentation

Your Technical Explanation must include a Data Sources section that describes:

1. all source data and how to access it,
2. any derived or created datasets and how they were produced, and

3. preprocessing steps applied.

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Appendix A – Round 1 Concept Submission Scoring Sheet

AI Investment Challenge – Concept Submission Score Sheet

Team ID: _____ Judge ID: _____ Date: _____

CRITERIA	MAXIMUM POINTS	POINTS	COMMENTS
Relevance *Does the concept address a real problem that investment professionals face?*	**25**		
Impact *If successful, how much value would this solution create for the industry?*	**25**		
Feasibility *Can this concept realistically be built with current AI technology?*	**25**		
Innovation *Is this a novel and creative approach to the problem?*	**25**		
TOTAL	**100**		

***Why this works**: At the concept stage, we filter for ideas that are both worth building (Relevance + Impact) and can be built (Feasibility + Innovation). Equal weighting ensures we don't over-index on flashy ideas that aren't practical, or practical ideas that don't move the needle.*

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Appendix B – Round 2 Code Review Scoring Sheet

AI Investment Challenge – Prototype Evaluation Score Sheet

Team ID: _____ Reviewer ID: _____ Date: _____

CRITERIA	MAXIMUM POINTS	POINTS	COMMENTS
Functionality *Does the prototype run and demonstrate the proposed solution?*	**40**		
Clarity and Documentation *Is the code well-documented and is the process explainable to non-technical reviewers?*	**30**		
Path to Completion *If incomplete, is there a clear roadmap to a finished product? Full points are given for fully functional submissions.*	**30**		
TOTAL	**100**		

Appendix B2 – Round 2 Executive Summary Ranked-Choice Voting

Overview

In Round 2, each mentor ranks all team's (excluding their own assigned team) round 2 Executive Summaries based on an assessment of Real-World Value (a combined metric of Relevance and Impact).

How Ranked-Choice Voting Works

1. Each mentor ranks all eligible teams from 1 (highest) to N (lowest), where N is the number of teams they can evaluate.
2. Mentors may not rank their own assigned team.
3. Rankings are converted to points: 1st place = N points, 2nd place = N-1 points, etc.
4. Points from all mentors are summed for each team.

Combining Scores

The final Round 2 score combines code review scores (Appendix B) with mentor rankings:

- Code Review Component: Code review score (normalized to 50 points)

- Mentor Ranking Component: Sum of mentor ranking points (normalized to 50 points)
- Final Score = Code Review Component + Mentor Ranking Component (out of 100)

The top 5 teams by combined score advance to Round 3 (Finals).

Why this works: *Code review assesses technical execution. A fully functional, well-documented prototype (100 points) makes advancement entirely dependent on mentor assessment of Real-World Value. A partially complete prototype with exceptional Real-World Value can still advance if mentors rank it highly enough to offset the code review gap.*

Worked Example

Scenario: 10 teams in Round 2, 10 mentors. Each mentor ranks the 9 teams other than their own assigned team.

Step 1: Convert Rankings to Points

With 9 teams to rank, points are assigned as: 1st place = 9 pts, 2nd = 8 pts, 3rd = 7 pts … 9th = 1 pt

Formula: Points = (N + 1) – Rank, where N = number of teams ranked

Example: If Mentor A ranks Team X as 2nd place → Points = (9 + 1) – 2 = 8 points

Step 2: Sum Points Across All Mentors

Team X receives rankings from 9 mentors (their assigned Mentor J cannot rank them):

Mentor A	Mentor B	Mentor C	Mentor D	Mentor E	Mentor F	Mentor G	Mentor H	Mentor I
Rank: 1	Rank: 2	Rank: 1	Rank: 3	Rank: 2	Rank: 1	Rank: 2	Rank: 4	Rank: 1
9 pts	**8 pts**	**9 pts**	**7 pts**	**8 pts**	**9 pts**	**8 pts**	**6 pts**	**9 pts**

(Mentor J is Team X's assigned mentor and cannot rank them)

Team X Total Mentor Points = 9 + 8 + 9 + 7 + 8 + 9 + 8 + 6 + 9 = 73 points

Step 3: Normalize Scores

Normalization ensures both components contribute equally (50 points each) to the final score.

Mentor Score Normalization Formula:

Normalized Mentor Score = (Total Mentor Points ÷ Max Possible Points) × 50

Max possible = 9 mentors × 9 points (if ranked 1st by all) = 81 points

Team X: (73 ÷ 81) × 50 =**45.1 points**

Code Review Normalization Formula:

Normalized Code Score = (Code Review Score ÷ 100) × 50

Team X scores 82/100 on code review: (82 ÷ 100) × 50 =**41.0 points**

Step 4: Calculate Final Score

Final Round 2 Score = Normalized Mentor Score + Normalized Code Score

Team X: 45.1 + 41.0 = **86.1 out of 100**

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Appendix C – Final Presentation Scoring Sheet

Team ID: _____ Reviewer ID: _____ Date: _____

CRITERIA	MAXIMUM POINTS	POINTS	COMMENTS
Innovation *Originality and creativity of the idea*	**10**		
Relevance *Relevance and practicality within the investment industry*	**10**		
Impact *Demonstrated efficiency or insight improvement*	**10**		
Responsible AI *Transparency, ethics, and bias awareness*	**20**		
Delivery Execution *Clarity, persuasiveness, teamwork, and overall communication quality in presenting the solution*	**50**		
Total	**100**		

Why this works: *By the Finals, teams have proven they can build. Now we assess: Should this be built? (Relevance, Impact, Responsible AI) How well did they present it? (Delivery and Execution) How differentiated is it? (Innovation).*